

Umeme Limited 2020 Financial Results



Overview

The Directors of Umeme Limited present the audited financial results for the year ended 31 December 2020.

The results for the year were impacted by the Covid-19 global pandemic that posed a challenging operating environment, and regulatory lag in recovery of outstanding income. Due to the changed landscape and Government imposed restrictions on movement, we prioritised safety of our staff, continuity of electricity supply services and minimising the pandemic effects on the business. We leveraged use of technology to deliver service while ensuring compliance with Standard Operating Procedures as directed by the Government.

We appreciate the support provided by the various Government agencies to ensure continuity in the provision of electricity, an essential service, particularly during the strict lockdown period between March and October 2020.

We noted a reduction in electricity demand, an increase in power losses due to lack of field activity and suspension of the free connections program due to lack of funding. On a positive note, we concluded our capital investment program of Ushs 279 billion (US\$ 75 million) to improve the network distribution capacity, supply reliability and operational efficiencies.



Safety

While the pandemic expanded the safety sphere, our staff continue to serve with care and ensure minimal accidents resulting from our operations. While staff safety continues to improve, with sadness, we note the 7 public fatalities that occurred during the year arising from an unauthorised interference with the electricity distribution infrastructure.

We have continued to conduct consumer education campaigns across multiple media platforms on responsible use, and dangers of electricity. Our staff are trained, and continually assessed, on their ability to safely operate and maintain the distribution network.



Customer Service

Continuing service delivery to meet the expectations of our customers remains central to our strategy and our business operations. During the year, we conducted an independent customer survey, which returned an improved Customer Satisfaction Index of 72.5% up from 71% of 2019 and Net Promoter Score (the willingness of customers to recommend our products or services to others) of 10. The key feedback was on the need to continue improving the quality and reliability of electricity supply. We are implementing a reliability improvement program in the worst performing areas, while targeting our investments primarily to restore, improve and expand the distribution grid.

We connected 59,623 customers to the grid which was significantly below the planned target of the Electricity Connections Policy (ECP). Unfortunately, we now have a backlog of 210,000 pending connection applications arising out of suspension of the program. We are working closely with Government and funding agencies to source alternate funding and allow us to recommence the program and address the backlog. Meanwhile, to further improve the connections process, we have automated the new connections process where customers can submit their applications through digital channels without physically visiting our service centres.

We converted 168,000 post paid customers to pre-payment metering, which now covers 97% of the domestic customer base contributing 30% of the revenues. This shall further enhance cost efficiencies, working capital and overall better customer experience.



Operational Performance

Energy losses:

Energy losses increased to 17.5% from 16.4% of 2019, on account of limited field activities due to the pandemic restrictions on movement and suspension of the ECP which led to increased illegal connections. With the easing of restrictions, we have recommenced the implementation of our loss reduction plans.

Revenue Collections:

Our collections for the year improved to 100.3% from 99.7% in 2019 on account of the rollout of pre-paid metering, prompt Government payments, and the generally improved electricity bills payment culture. We thank our customers for prioritising electricity bill payments to enable service delivery.



Digitising For Business Efficiency

We continued to rollout out the ICT strategy, with SAP Hana as the integrating hub, to streamline business operations. During the

year, we rolled out 4 additional modules which are in use. They include; financials, materials management, plant maintenance, project systems, Environment Health and Safety (EHS) and human capital-payroll.

We commenced the implementation of Geo-Spatial Network Information Systems (GNIS), to integrate with other network systems aimed at improving network performance, outage management, asset management and overall customer experience.



Investments in the Distribution Network

Our investment in the electricity distribution network continued with the aim of; expanding the network to accommodate new loads, improving the quality and reliability of service, reducing technical losses and general network integrity and safety. We invested Ushs 279 billion (US\$ 75 million) in capital projects in building and upgrading 7 substations (Ntinda, Kakiri, Gulu, Mbale, Bombo, Nakawa), constructing distribution integration lines with transmission infrastructure, expansion of distribution transformer zones and conversion of 168,000 customers to prepayment metering.



Regulation

The regulatory environment remains challenging, with an increased need for investments and adequate pricing to recover our revenue requirements due. We note the ongoing dialogue with the Electricity Regulatory Authority (ERA) to address the current constraints that are negatively impacting business operations. The key issues to note are:

- The effects of suspension of the free connections program
- Recovery of investments costs due
- Resolution of the operating costs withheld under licence amendments resulting in the dispute the Company lodged with the Electricity Disputes Tribunal

I am glad to inform you that the tax dispute with the Uganda Revenue Authority (URA) on the treatment of capital asset additions for tax purposes was determined by the Tax Appeals Tribunal in our favour. While the Uganda Revenue Authority did not appeal the decision, the Uganda Electricity Distribution Company, the other party impacted by the decision, appealed in the High Court. We look forward to the outcome of the Court process.

We have automated the new connections process where customers can submit their applications through digital channels



Review of the results for the year ended 31 December 2020



Financial Performance

The financial performance of for the year 2020 is a reflection of the challenging operating and regulatory environment.

Revenue

Revenue which includes revenue from the ECP, decreased by 7% to Ushs 1,661 billion in 2020 compared to Ushs 1,777 billion in 2019. Notwithstanding the 3% decrease in electricity sales to Ushs 1,606 billion, revenues from the provision of ECP services reduced by 72% to Ushs 54 billion from Ushs 190 billion of 2019, due to suspension of the ECP Program. The total electricity sales volume remained in line with 2019 levels, with regression in the commercial and medium industrial tariff categories, offset by the increase in demand by the large industrial users.

Cost of Sales

Cost of sales which includes cost of implementing the ECP, reduced by 0.1% to Ushs 1,182 billion from Ushs 1,183 billion in 2019. The main drivers were an increase in electricity purchase costs by 13% to Ushs 1,116 billion from Ushs 984 billion in 2019 driven by 2% volume growth, and an over 9% increase in the Bulk Supply Tariff.

The ECP costs relating to completed connections recognized during the year reduced to Ushs 56.7 billion compared to Ushs 189.6 billion of 2019 mainly due to the suspension of the program during the year.

Gross Profit

The resultant gross profit reduced by 19.4% to Ushs 479 billion compared to Ushs 594.1 billion in 2019.

Operating Costs

Operating costs increased by 6% to Ushs 226 billion in 2020 from Ushs 214 billion in 2019. Operating costs were mainly driven by increase in repairs and maintenance costs and implementing COVID-19 Standard Operating Procedures.

The Company is undertaking cost optimisation initiatives to take advantage of the strategic ICT investments undertaken and new ways of doing business.

Earnings Before Interest Taxation Depreciation and Amortisation (EBITDA)

The EBITDA for the year reduced to Ushs 246 billion compared to Ushs 376 billion of 2019 driven by performance on gross margin and operating costs as noted above.

Financing Costs

Finance costs reduced by 17% primarily due to reduction of interest expense incurred on facilities A and B, following the repayment of principal of Ushs 110 billion (US\$ 29.7m) and reduction in the variable 6-month LIBOR rates.

Income taxes

Based on the financial performance of the Company, the income tax charge for the year reduced to Ushs 19.9 billion, reflecting an effective average tax rate of 31.6% compared to Ushs. 65.2 billion of 2019.

Profit after Tax

Profit after Tax reduced by 69%, to Ushs 43.1 billion from Ushs. 139.2 billion of 2019.

We achieved an EPS of Ushs 26.5 compared to Ushs 85.7 of 2019.

Balance Sheet Analysis

Total assets as of 31 December 2020 were Ushs 2,665 billion compared to Ushs 2,542 billion in 2019, an increase of 5%. The increase was underpinned by the capital assets additions and higher inventory levels.

Shareholder Equity reduced by 4%, from Ushs 834 billion in 2019 to Ushs 803 billion in 2020. The decline is due to dividends paid

of Ushs 67.1 billion while profit for the year was Ushs 43.1 billion. Outstanding interest-bearing debt reduced to Ushs 517 billion in 2020 from Ushs 557 billion in 2019. The Company utilized the final drawdown and accessed Ushs 71 billion as part of a term facility of US\$ 70 million that was concluded in 2019. The Company repaid Ushs 110 billion (2019: Ushs 232 billion) in settlement of the short and long term facilities.

Our Debt-to-Equity ratio is 0.6 which is well within our loan covenant ratio of 2.5. We were compliant with all borrowing covenants during the financial year.

Analysis of Cash flows

During the year under review, the Company generated Ushs 277 billion (2019: Ushs 194 billion) from operating activities. The cash generated was used to fund some of the capital investments, dividends, and financing obligations.

We invested **Ushs 279 Billion** in capital projects in building and upgrading 7 substations, constructing distribution integration lines with transmission infrastructure, expansion of distribution transformer zones and conversion of 168,000 customers to prepayment metering.



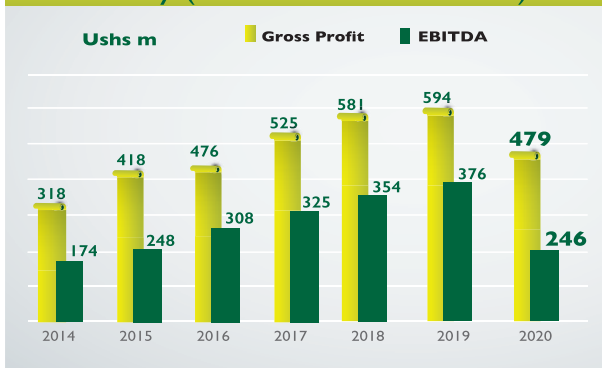
Energy Losses (%)



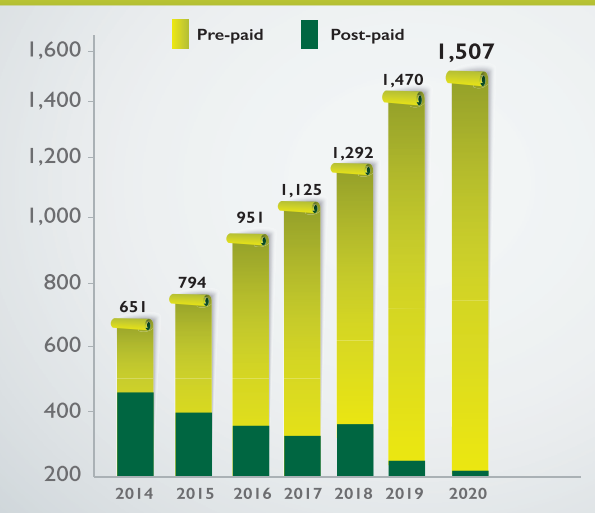
Revenue Collections (%)



Profitability (Gross Profit & EBITDA)



Customer Numbers

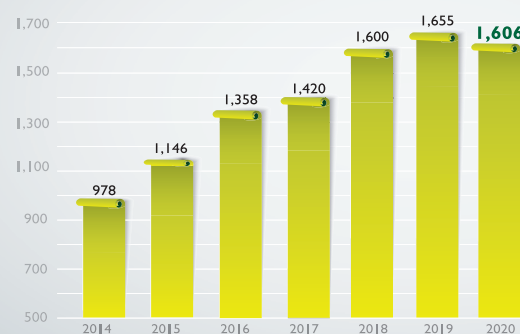


Electricity Sales (GWh)



Review of the results for the year ended 31 December 2020 cont'd

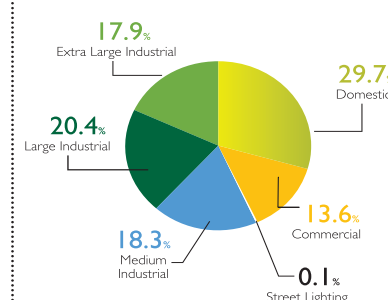
Electricity Sales (Ushs Millions)



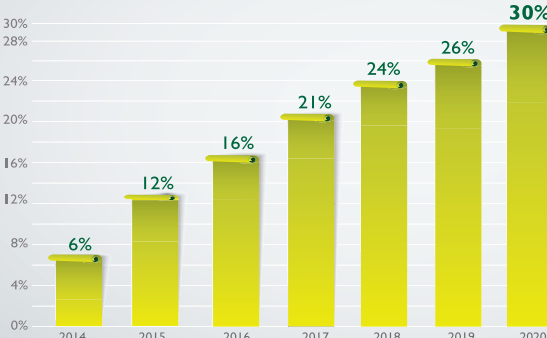
Electricity Sales (Ushs billion)

Customer Category	2020	2019	Growth	% Share
Domestic	477	461	3%	29.7%
Commercial	219	248	-12%	13.6%
Street Lighting	1.0	1.0	0%	0.1%
Industrial - Medium	294	339	-13%	18.3%
Industrial - Large	327	359	-9%	20.4%
Industrial - Extra Large	288	247	17%	17.9%
Total	1,606	1,655	-3%	

Sales Distribution



Revenues From Prepaid Sales (%)

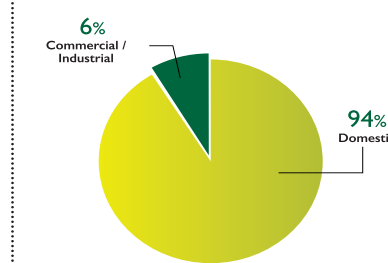


Customer Numbers

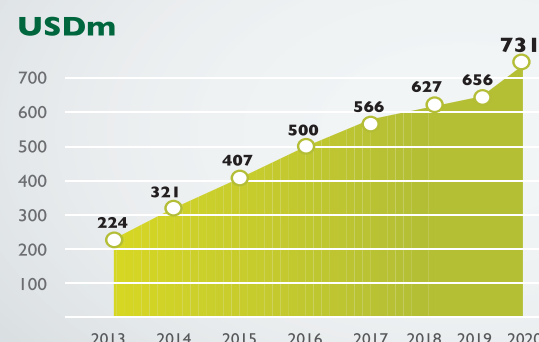
Customer Category	2020	2019	Growth
Domestic	1,416,819	1,348,084	5%
Commercial*	86,428	118,340	-27%
Street Lighting	201	237	-15%
Industrial - Medium	2,845	2,714	5%
Industrial - Large	578	551	5%
Industrial - Extra Large	49	37	32%
Total	1,506,920	1,469,963	

* Reduction is due to customer category reclassification to domestic

Customers per Tariff Category



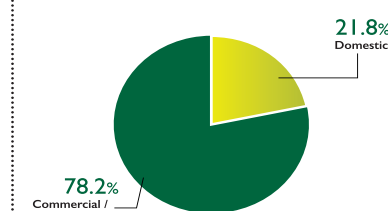
Investment in Distribution Network (Cumulative)



Electricity Sales (GWh)

Customer Category	2020	2019	Growth (y/y)
Domestic	698	666	5%
Commercial	336	365	-8%
Street Lighting	1.6	1.3	23%
Industrial - Medium	455	500	-9%
Industrial - Large	813	890	-9%
Industrial - Extra Large	898	761	18%
Total	3,201	3,183	1%

Electricity Sales (GWh) per Tariff Category



Dividend

Subject to the approval of the shareholders, the Directors recommend to members that a final dividend of Ushs 12.2 per ordinary share be paid for the year ended 31 December 2020 (2019: Ushs 41.3), subject to withholding tax deductions, where applicable, to shareholders registered in the books of the Company at the close of business 25th June 2021. If approved, the outstanding dividend will be paid on or about 19th July 2021.



Outlook

We believe as governments respond to the pandemic through the vaccine rollout, we project economic recovery and improvements in the general operating environment. We shall continue with focus on safety, continuity of electricity supply services, resolution of the regulatory matters, operational and financial performance.

The resolution of the Concession extension beyond 2025 is fundamental in unlocking long term capital for investment in

the distribution network to evacuate new loads, increase access, improve the quality of supply and reduction of technical losses.

I would like to thank the staff, our customers, business partners, Government and other stakeholders for the support to the business. We look forward to continued collaboration to achieve the Company, sector, and country objectives.

On behalf of the Board

Patrick Bitature
Chairman Board of Directors
Umeme Limited
19 March 2021

The convenient, secure, and easy way to apply for a new electricity connection online anytime and anywhere.

Visit <https://www.umeme.co.ug/myumemeonline>; select **Get Connected** to apply or download the **Umeme App**.

Download the Umeme App

Powering Uganda

Extract of the audited results for the year ended 31 December 2020

STATEMENT OF PROFIT OR LOSS

	2020 Ushs million	2019 Ushs million
Revenue from contracts with customers	1,660,841	1,776,597
Cost of sales	(1,181,852)	(1,182,497)
GROSS PROFIT	478,989	594,100
Repair and maintenance expenses	(45,744)	(30,911)
Administration expenses	(179,945)	(182,982)
Foreign exchange losses	(11,413)	(7,782)
Increase in expected credit losses	(7,614)	(3,860)
PROFIT BEFORE AMORTISATION, IMPAIRMENT, INTEREST AND TAX	234,273	368,565
Amortisation and write off of intangible assets	(141,275)	(122,994)
OPERATING PROFIT	92,998	245,571
Finance income	18,913	17,639
Finance costs	(48,950)	(58,853)
PROFIT BEFORE TAX	62,961	204,357
Income tax expense	(19,880)	(65,205)
PROFIT FOR THE YEAR	43,081	139,152
BASIC AND DILUTED EARNINGS PER SHARE	2020 Ushs 27	2019 Ushs 86

STATEMENT OF COMPREHENSIVE INCOME

	2020 Ushs million	2019 Ushs million
Profit for the year	43,081	139,152
Other comprehensive income		
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Differences on translation from functional currency to presentation currency	(6,264)	(13,052)
Total comprehensive income for the year, net of tax	36,817	126,100

STATEMENT OF CASH FLOWS

	2020 Ushs million	2019 Ushs million
Net cash flows from operating activities	277,141	194,149
Investing activities		
Investment in the distribution network	(278,744)	(104,817)
Proceeds from sale of intangible assets	-	134
Net cash flows used in investing activities	(278,744)	(104,683)
Financing activities		
Dividend paid	(67,131)	(66,416)
Repayment of principal for long term borrowing facilities	(73,402)	(127,376)
Repayment of principal for short term borrowing facilities	(36,650)	(104,500)
Proceeds from term borrowing facilities	70,690	186,613
Proceeds from short term borrowing facilities	-	91,150
Net cash flows used in financing activities	(106,493)	(20,529)
Net (decrease)/increase in cash and cash equivalents	(108,096)	68,937
Cash and cash equivalents at 1 January	52,364	(18,712)
Translation differences	3,243	2,139
Cash and cash equivalents at 31 December	(52,489)	52,364

STATEMENT OF FINANCIAL POSITION

	31 Dec 2020 Ushs million	31 Dec 2019 Ushs million
ASSETS		
Non-current assets		
Intangible assets	787,665	808,631
Other financial asset	1,016,856	855,497
Concession financial asset	329,283	327,570
	2,133,804	1,991,698
Current assets		
Inventories	102,600	69,778
Contract assets	91,433	85,215
Current income tax recoverable	41,137	11,077
Trade and other receivables	218,402	216,309
Prepayments	47,642	68,501
Bank balances	30,022	99,196
	531,236	550,076
TOTAL ASSETS	2,665,040	2,541,774
EQUITY AND LIABILITIES		
Equity		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	521,980	546,030
Translation reserve	183,186	189,450
	803,206	833,520
Non-current liabilities		
Borrowings: Non-current portion	341,464	428,457
Concession obligation	329,283	327,570
Long term incentive plan	58	866
Deferred tax liability	215,313	195,455
	886,118	952,348
Current liabilities		
Borrowings: Current portion	175,640	128,477
Customer security deposits	496	492
Contract liabilities	139,866	138,095
Accrued expenses	53,931	15,704
Provisions	1,311	1,318
Trade and other payables	522,457	425,480
Bank overdrafts	82,015	46,340
	975,716	755,906
TOTAL EQUITY AND LIABILITIES	2,665,040	2,541,774

STATEMENT OF CHANGES IN EQUITY

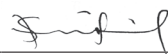
	Issued capital Ushs million	Share premium Ushs million	Retained earnings Ushs million	Translation reserve Ushs million	Total equity Ushs million
At 1 January 2019	27,748	70,292	473,294	202,502	773,836
Profit for the year	-	-	139,152	-	139,152
Other comprehensive income, net of tax	-	-	-	(13,052)	(13,052)
Total comprehensive income for the year, net of tax	-	-	139,152	(13,052)	126,100
Dividend paid – 2018 interim dividend	-	-	(20,623)	-	(20,623)
Dividend paid - 2018 final dividend	-	-	(45,793)	-	(45,793)
At 31 December 2019	27,748	70,292	546,030	189,450	833,520
At 1 January 2020	27,748	70,292	546,030	189,450	833,520
Profit for the year	-	-	43,081	-	43,081
Other comprehensive income, net of tax	-	-	-	(6,264)	(6,264)
Total comprehensive income for the year, net of tax	-	-	43,081	(6,264)	36,817
Dividend paid - 2019 final dividend	-	-	(67,131)	-	(67,131)
At 31 December 2020	27,748	70,292	521,980	183,186	803,206

Message from the Directors

The above Financial Statements are extracts from the Company's Financial Statements which were audited by Ernst & Young Certified Public Accountants, who issued an unqualified opinion. A copy of the full Financial Statements can be obtained at the Umeme Limited Head Office at Rwenzori House, Plot 1 Lumumba Avenue, Kampala, Uganda, and on our website: www.umeme.ug.

The Financial Statements were approved by the Board of Directors on 19th March 2021, and were signed on its behalf by:


Chairman


Managing Director